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MEASURE

At the beginning, a startup is little more than a model on a piece of paper. The financials in the business plan include projections of how many customers the company expects to attract, how much it will spend, and how much revenue and profit that will lead to. It's an ideal that's usually far from where the startup is in its early days.

A startup's job is to (1) rigorously measure where it is right now, confronting the hard truths that assessment reveals, and then (2) devise experiments to learn how to move the real numbers closer to the ideal reflected in the business plan.

Most products—even the ones that fail—do not have zero traction. Most products have some customers, some growth, and some positive results. One of the most dangerous outcomes for a startup is to bumble along in the land of the living dead. Employees and entrepreneurs tend to be optimistic by nature. We want to keep believing in our ideas even when the writing is on the wall. This is why the myth of perseverance is so dangerous. We all know stories of epic entrepreneurs who managed to pull out a victory when things seemed incredibly bleak. Unfortunately, we don't hear stories about the countless nameless others who persevered too long, leading their companies to failure.

WHY SOMETHING AS SEEMINGLY DULL AS ACCOUNTING WILL
CHANGE YOUR LIFE